



Problem Statement 2: Agentic Compliance From Regulatory Text to Operational Action

Problem

The securities market ecosystem operates under a continuously evolving regulatory framework. SEBI issues circulars, master circulars, notifications, and guidelines on an ongoing basis, each carrying specific obligations for one or more categories of market intermediaries stockbrokers, depositories, asset management companies, registrar and transfer agents, investment advisers, and market infrastructure institutions.

This creates two distinct but deeply related compliance challenges:

The first is dynamic regulatory translation the challenge of interpreting a new or amended regulatory requirement, mapping it to the affected intermediary's operational processes, and updating compliance workflows in a timely and consistent manner. Currently, this depends heavily on manual legal interpretation, internal compliance teams, and circular-by-circular tracking. The result is uneven implementation, delayed adaptation, and divergent interpretations across similarly situated intermediaries.

The second is ongoing compliance management the challenge faced by compliance teams at intermediaries in tracking their existing regulatory obligations, mapping each obligation to evidence of fulfilment, maintaining audit trails, and identifying and remediating compliance gaps before they become regulatory findings. This is operationally intensive, often manual, and prone to gaps particularly in smaller intermediaries with limited compliance resources.

Both challenges share a common root: the regulatory framework exists as unstructured, human-readable text, while operational compliance systems require structured, machine-actionable rules. Bridging this gap transforming regulatory intent into programmable, auditable compliance logic is the core unsolved problem.

Desired outcome

Develop a technology-based solution that bridges the gap between regulatory text and operational compliance action in the securities market ecosystem.

It should demonstrably reduce the gap between regulatory issuance and operational compliance action, or that materially improves the efficiency, accuracy, and auditability of compliance management for securities market intermediaries. Solutions should specify the intermediary category and regulatory corpus they have worked with, and demonstrate performance on at least one concrete regulatory scenario.

Suggested Regulatory Corpus for Participants

To ensure a common baseline, participants are encouraged to work with SEBI's publicly available master circulars for stockbrokers and / or investment advisers, which consolidate all applicable obligations in a structured format and are freely accessible on SEBI's website.